

25AVCV01457 25AVCV01457

County: los-angeles

Division: Civil Law and Motion

Department: A14

Hearing date: 2026-08-11

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SUPERIOR COURT OF THE STATE OF CALIFORNIA

COUNTY OF LOS ANGELES – NORTH DISTRICT

ROSA M. SILVA; and VICTORIA ROGELIA GUZMAN,

Plaintiffs,

v.

JANINE BAKER, Listing Agent; THOMAS PAULAUSKAS, Broker aka Keller Williams Realty; and RAFEH CORPORATION,

Defendants.

Case Number 25AVCV01457

[TENTATIVE]

STATEMENT OF DECISION

Date of Hearing: August 11, 2026

Dept. A-14

Judge William H. Forman

I. Background

This is a misrepresentation and false advertising case arising from the purchase by Plaintiffs Rosa M. Silva (Silva) and Victoria Rogelia Guzman (Guzman) (together, Plaintiffs) of a mobile home located at 2550 E. Avenue I, Space 42, Lancaster, CA 93535 (the Property).

On November 4, 2025, Plaintiffs filed a complaint against Janine Baker (Baker) as the listing agent and Thomas Paulauskas (Paulauskas) as the broker (erroneously sued as Thomas Paulauskas, broker aka Keller Williams Realty & Rafah Corporation) (together Defendants), asserting four causes of action for (1) false advertising and unfair business practices under Business and Professions Code section 17200 against Baker, (2) negligent misrepresentation against Baker, (3) violation of California Business and Professions Code section 10176(a) against both Defendants, and (4) broker liability pursuant to Civil Code section 2338 against Paulauskas.[1],

Plaintiffs allege that the Property was listed for sale by Baker and priced at \$119,950, and after viewing the Property with their real estate agent, Maria Chamberlain (Chamberlain), Plaintiffs made an offer of \$119,000. (Compl., ¶ 4.) The Property was then appraised for \$115,300, with which Baker and the seller of the Property (the Seller) disagreed, resulting in Plaintiffs agreeing to pay a final purchase price of \$117,150, \$1,850 over the appraised value. (Compl., ¶¶ 5-6.) Plaintiffs claim they entered into the purchase agreement believing the plumbing and roof were new based on representations in the MLS listing, and also assert that the listing advertised incorrect square footage. (Compl., ¶¶ 6-8.) Only after escrow closed did Plaintiffs discover that the roof and plumbing were not new, and that portions of the structure were damaged, rotting, and contained outdated and unsafe wiring. (Compl., ¶ 9.)

On March 5, 2026, defense counsel Andrew Leff filed a declaration regarding his attempts to meet and confer regarding a demurrer and motion to strike.

On March 16, 2026, Plaintiffs filed an opposition to Defendants' demurrer, before Defendants had filed the demurrer.

On April 16, 2026, Defendants filed a demurrer and motion to strike, along with a subsequent meet and confer declaration.

On May 13, 2026, Plaintiffs filed an opposition to Defendants' motion to strike.

On May 27, 2026, Defendants filed their reply in support of the motion to strike.

II. Preliminary Procedural Issues

Meet and Confer Requirement – Before filing a demurrer or motion to strike, the demurring or moving party is required to meet and confer at least five days before the date the responsive pleading is due, in person, by telephone, or by video conference, with the party who filed the pleading for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer or motion to strike. (Code Civ. Proc., §§ 430.41, subd. (a), 435.5, subd. (a).) The demurring or moving party shall file and serve with the demurrer or motion to strike a declaration stating the means by which the parties met and conferred and that the parties did not reach an agreement to resolve the issues raised, or that the party who filed the pleading demurred or objected to failed to respond or otherwise failed to meet and confer in good faith. (Ibid.)

Here, Defense counsel Andrew Leff states he emailed Plaintiffs on February 26, 2026, outlining the legal grounds for a demurrer and motion to strike portions of the complaint. (Leff Decl., ¶ 2.) Leff also states he called Silva and left voice messages on February 26 and 27, and March 2 and 3, 2026. (Ibid.) On March 26, 2026, Silva and Leff spoke telephonically and conducted a meet and confer regarding the grounds for demurrer and motion to strike, but no agreement could be reached. (Leff Decl., ¶ 3.) Leff also states he emailed Silva numerous times to obtain the missing page number five from the

complaint, and Silva told him numerous times that she would provide it, but never did. (Leff Decl., ¶ 4.)

The Court finds the meet and confer requirement is satisfied.

Timing of Plaintiffs' Opposition to the Demurrer – The Court notes that Plaintiffs' opposition to the demurrer was filed one month before the demurrer itself was filed. The proof of service attached to the demurrer also states that the demurrer was not served on Plaintiffs until April 16, 2026, a month after the opposition was filed. However, the opposition is not untimely, and no authority bars the Court from considering an opposition filed before the motion it opposes. Therefore, to the extent that the opposition addresses issues raised in the demurrer, the Court will consider the merits of the opposition.

Service of Plaintiffs' Oppositions – The Court notes that no proof of service has been filed or attached to either Plaintiffs' opposition to the demurrer or the opposition to the motion to strike. Defendants have replied to the opposition to the motion to strike, but have not filed any reply to the opposition to the demurrer. It is unclear whether Plaintiffs' opposition to the demurrer was ever seen or received by defense counsel. However, the Court has no reservations regarding consideration of the motion to strike opposition on the merits in light of the absence of prejudice to Defendants given their substantive reply to the opposition.

The Court is hesitant to consider the merits of the opposition in the absence of any proof of service or reply from Defendants. However, the Court will exercise its discretion in considering the opposition on the merits absent any objection from Defendants at this stage in the interests of adjudication of this matter.

III. Legal Standard

Standard for Demurrer – A party against whom a complaint has been filed may object by demurrer to the pleading on the ground that the pleading does not state facts sufficient to constitute a cause of action. (Code Civ. Proc., § 430.10, subd. (e).) A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations reasonably, liberally, and in context. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.)

As a general matter, in a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) “A demurrer tests the pleading alone, and not the evidence or facts alleged.” (E-Fab, Inc. v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint's properly pleaded or implied factual allegations. (Ibid.) Courts must “treat the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law.” (Blank, supra, 39 Cal.3d at 318.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (Hahn, supra, 147 Cal.App.4th at 747.)

Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (Id.; Lewis v. YouTube, LLC (2015) 244 Cal.App.4th 118, 126.) The threshold for meeting this burden is low, and “[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend.” (Youngman v. Nevada Irrigation Dist. (1969) 70 Cal.2d 240, 245.)

Standard for Motion to Strike – A motion to strike lies where either (1) there is “irrelevant, false or improper matter inserted in any pleading,” or (2) where a pleading or part thereof is “not drawn or filed in conformity with the laws of this state, a court rule or order of court.” (Code Civ. Proc., § 436.) The Court has the authority to strike out any part of a pleading not filed in conformity with an order of the court. (See Ibid; Ferraro v. Camarlinghi (2008) 161 Cal.App.4th 509, 528.)

When the pleadings are defective, “the defect may be raised by demurrer or motion to strike, or by motion for judgment on the pleadings.” (Coyne v. Krempels (1950) 36 Cal.2d 257, 262.) The grounds for a motion to strike shall appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice. (Code Civ. Proc., § 437, subd. (a).) A matter to be judicially noticed shall be specified in the notice of motion. (Code Civ. Proc., § 437, subd. (b).) The court then may strike out any irrelevant, false, or improper matter inserted in any pleading and strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. (Code Civ. Proc., § 436.) When the defect which justifies striking a complaint is capable of cure, the court should allow leave to amend. (Perlman v. Municipal Court (1979) 99 Cal.App.3d 568, 575.)

IV. Discussion

Application – Defendants demur to the third cause of action for violation of Business and Professions Code section 10176, and the complaint as a whole Paulauskas separately demurs to the fourth cause of action for broker liability pursuant to Civil Code section 2338, and to the complaint as a whole. (Demurrer, p. 2:9-26.)

a. Defendants' Demurrer to Third Cause of Action – Violation of Business and Professions Code § 10176(a)

This cause of action alleges a violation of B&P Section 10176(a). The cause of action reads, in relevant part, “Defendant Baker’s conduct constitutes grounds for discipline by the California Department of Real Estate, including possible suspension or revocation of her license.” (Compl., ¶ 18.)

Defendants argue that the Court lacks jurisdiction over this cause of action because the Section provides only for administrative and disciplinary relief to be determined by the California Department of Real Estate (“DRE”). It vests the DRE with authority to “investigate the actions of any person engaged in the business or acting in the capacity of a real estate licensee within this state, and he or she may temporarily suspend or permanently revoke a real estate license at any time where the licensee, while a real estate licensee, in performing or attempting to perform any of the acts within the scope of this chapter has been guilty of any of the following: (a) making any substantial misrepresentation.” (Id.)

and revocation, both temporary and permanent, of all [real estate] licenses ...” [Bus. & Prof. C. § 10071].”

Defendants argue that because this cause of action seeks discipline by the California Department of Real Estate (DRE), including suspension or revocation of Baker’s license, and because the Court has no jurisdiction over Baker’s license, the Court has no jurisdiction over Plaintiffs’ cause of action for Baker’s alleged violation of the Business and Professions Code.

Plaintiffs’ opposition is silent on this point.

The Court would not phrase this so much as a jurisdictional issue, but that Business and Professions Code section 10176, subdivision (a) by its plain terms does not give rise in and of itself to a private cause of action for enforcement of the administrative and disciplinary relief Plaintiff seeks. As the Cause of Action is incapable of amendment – under no circumstances may the Court grant the relief sought by Plaintiff in the Cause of Action – the Court SUSTAINS the Demurrer to the Third Cause of Action WITHOUT LEAVE.

But there is an important qualification. The reason the Court would not characterize this as a jurisdiction issue is that the Court does have jurisdiction over the types of conduct proscribed by B&P Section 10176. Although § 10176(a) does not itself create a cause of action, its prohibitions on substantial misrepresentation establish a standard of conduct that California courts have held can support a negligence per se theory in a private civil action. In Jorgensen v. Beach 'N' Bay Realty, Inc. (1981) 125 Cal. App. 3d 155, the Court of Appeal held that § 10176, subdivisions (a), (b), and (i) — which prohibit substantial

misrepresentation, false promises, and fraud or dishonest dealing — set a statutory standard of care for real estate agents, and that violation of those provisions constitutes negligence per se. Thus Plaintiff could rely on alleged violations of B&P Section 10176 to support surviving causes of action, or to support a motion for leave to allege additional cause of action based on alleged misrepresentations. The Court expressly is not making any statement in support of or in discouragement of such a motion.

b. Paulauskas's Demurrer to the Entire Complaint and Fourth Cause of Action – Broker Liability – Civil Code § 2338

Paulauskas demurs to the Complaint as a whole and the fourth cause of action for broker liability on the same grounds. Thus, the Court addresses both concurrently.

Paulauskas argues that under the statutory scheme regulating real estate brokers and salespersons, Business and Professions Code section 10000 et seq., a corporation may be a real estate broker if it is licensed through an officer of the corporation who qualifies as a broker. (Demurrer, p. 6:18-20.) Paulauskas argues that pursuant to *Walters v. Marler* (1978) 83 Cal.App.3d 1, 34-35, he owed no duty to Plaintiffs in his supervisory role with Rafeh Corporation, but rather, may only be liable to Rafeh Corporation, that any action taken by him must be regarded as an action by Rafeh Corporation and not Paulauskas as an individual, and that he therefore cannot be held liable for Baker's misrepresentations. (Demurrer, p. 6:21-8:4.)

Defendants are correct in that Walters controls. In *Walters*,

In *Walters*, the corporation (Lampliter) was the corporate real estate broker. It held its license through a qualifying broker (Proulx). The real estate agent (Leseman) was an agent of Lampliter, and supervised by Proulx. The Court of Appeal affirmed the trial court's grant of a motion for non-suit on finding that he owed no duty to plaintiff, who was represented in the sale by the agent Leseman. :

Despite this evidence of negligence on Proulx' part, Proulx may not be held individually liable to Walters for injuries sustained as a result of Leseman's misrepresentations. The noncontractual rights and liabilities of a real estate broker are governed and determined by the general laws of agency. (1 Miller & Starr, Cal. Real Estate (rev. ed. 1975) pt. 2, § 4:4, pp. 9-10.) In the instant case Leseman was undeniably an agent for both Walters and Lampliter; however, he was not an agent for Proulx. Any action by the qualifying broker, Proulx, must be regarded as an action by the corporation and not by the broker as an individual. Thus, as an agent of the corporation, Proulx owed a duty to Lampliter to supervise the work of Lampliter employees. Proulx may therefore be liable to Lampliter in an action for indemnification. However, Proulx owed no duty to Walters to supervise Leseman's work; he therefore may not be held personally liable to Walters for Leseman's negligent misrepresentations.

(*Walters v. Marler* (1978) 83 Cal. App. 3d 1, 35, disapproved of on other grounds by *Gray v. Don Miller & Assocs., Inc.* (1984) 35 Cal. 3d 498, 674 P.2d 253 (1984).)

Here, Plaintiffs' complaint characterizes Paulauskas as "employing broker of Keller Williams Realty / Rafeh Corporation" and asserts that he "is vicariously liable for all acts of Defendant Baker committed within the course and scope of her employment." (Compl., ¶ 21.) Plaintiffs' complaint also characterizes Baker as "a licensed real estate agent under Broker Thomas Paulauskas (Keller Williams Realty / Rafeh Corporation)." (Compl., ¶ 19.) The complaint also named Paulauskas specifically in his role as employing broker of Keller Williams and Rafeh Corporation, naming both corporations as Paulauskas's "akas."

The complaint makes clear that Keller Williams and/or Rafeh Corporation was the corporate broker in this transaction and not Paulauskas, who only served as the qualifying broker for the corporation(s). This is further evidenced by the documents

attached to the complaint, in which Baker signs off as an agent for Keller Williams Realty. The complaint fails to allege any independent wrongdoing on Paulauskas's behalf, and per Walters, because Paulauskas is merely the qualifying broker of Keller Williams and Rafeh Corporation, no agency relationship legally exists between Paulauskas and Baker. Thus, Baker is not, as a matter of law, an agent of Paulauskas, but rather is an agent of Keller Williams and/or Rafeh Corporation in connection with this transaction, and vicarious liability does not extend to Paulauskas in his individual capacity or his capacity as qualifying broker.

Therefore, Paulauskas's demurrer to the complaint as a whole and to the fourth cause of action is SUSTAINED with leave to amend. However, as discussed, Baker is, by law, an agent of the broker, and Plaintiffs' complaint may reasonably be amended to sufficiently state a cause of action against the corporate broker involved in the transaction based on vicarious liability principles, or against Paulauskas as an individual if independent wrongdoing or an agency relationship is sufficiently pled. Thus, Plaintiffs are granted leave to amend to plead factual allegations as to Paulauskas's independent wrongdoing giving rise to liability outside of any agency relationship with Baker, to establish a direct agency relationship between Baker and Paulauskas, or to name the appropriate broker defendants to support their claims of vicarious liability.

c. Motion to Strike

Defendants move to strike Plaintiffs' requests for (1) emotional distress damages and (2) attorney's fees from Rafeh Corporation. (Motion, p. 2:8-19.)

As to emotional distress damages, Defendants argue that courts have consistently held that non-economic damages, such as emotional distress damages, are not recoverable in real property cases where the underlying cause of distress is economic activity, such as the purchase of real property. (Motion, p. 4:9-11.) Defendants rely on three California cases addressing this issue, outlined below.

In *Kruse v. Bank of America* (1988) 202 Cal.App.3d 38, 67, the Court held that emotional distress damages are not recoverable for fraud.

In *Erlich v. Menezes* (1999) 21 Cal.4th 543, 554-55, 558, the Supreme Court held that where a property builder negligently built the plaintiffs' home, the plaintiffs were not entitled to recover in contract or in negligence where the property resulted in no physical injury, following the general rule in California that recovery for mental suffering or emotional distress is generally unavailable where the defendant's tortious conduct resulted only in economic injury to the plaintiff.

In *Gravillis v. Coldwell Banker Residential Brokerage Co.* (2006) 143 Cal.App.4th 761, 782, the Court held that even severe emotional distress led to bodily injury (diabetes), emotional distress did not qualify as "bodily injury" sufficient to support a claim for emotional distress injuries. . The Court reasoned that the "bodily injury" exception is limited to bodily injury caused by the condition of the property itself, not from the emotional distress caused by the underlying misrepresentation or concealment. (Id. at pp. 781-782.) As the Court stated, "A similar analysis about the unavailability of damages for emotional distress applies here. Under California law, it is doubtful the Gravillises can recover for emotional distress given that (1) their claims are based on a broker's alleged failure to disclose property (termite) damage, and (2) the emotional distress was caused solely by what they saw and heard after the property had been damaged." (Id., at 776.)

In opposition, Plaintiffs argue that they do not merely allege simple economic injury, but allege false advertising, negligent misrepresentation, reliance on material representations concerning safety-related conditions, undisclosed hazardous electrical conditions, water intrusion, structural deterioration, financial hardship to elderly plaintiffs with limited resources, and emotional suffering. (Opp., p. 3:19-4:3.) Plaintiffs argue that fraud-based misconduct may support emotional distress damages where the conduct is intentional, reckless, or particularly egregious, and that such damages are warranted here. (Opp., p. 4:4-5.)

The Court agrees with Defendants that as currently pled, the factual allegations are insufficient to support a request for emotional distress damages. The Court also notes that damages for intentional fraud and negligent misrepresentation in the

purchase, sale, or exchange of property are limited to damages specified by Civil Code section 3343. (Devin v. United Services Auto. Assn. (1992) 6 Cal.App.4th 1149, 1162.) Civil Code section 3343 does not provide for emotional distress damages. Furthermore, "a plaintiff may not recover damages for emotional distress in an action for negligent misrepresentation where the 'plaintiff's direct loss resulting from the negligent conduct of the defendant was [only] economic.'" (Butler-Rupp v. Lourdeaux (2005) 134 Cal.App.4th 1220, 1227, citing Branch v. Homefed Bank (1992) 6 Cal.App.4th 793, 801.)

The underlying complaint is based wholly on the purchase of real property and the misrepresentations regarding the Property's condition giving rise to the sale, which, as the cases above demonstrate, does not entitle a plaintiff to recover for emotional distress absent physical injury caused by the property. Accordingly, the Motion to Strike as to emotional distress damages is GRANTED.

However, because Plaintiffs have alleged dangerous conditions on the property, the Court will grant leave to amend, and Plaintiffs may plead factual allegations of any personal injury they may have sustained from the Property's condition as a basis for emotional distress damages, if any exist.

As to attorney's fees, Defendants argue that Plaintiffs' request for fees should be stricken because Plaintiffs have failed to attach a contract with a fees clause between Plaintiffs and Defendants and do not identify any law that entitles them to attorneys' fees should they prevail. (Motion, p. 7:17-20.)

In opposition, Plaintiffs argue that attorney's fees should not be stricken because discovery may reveal contractual provisions, agency relationships, indemnity obligations, or statutory or equitable bases supporting the recovery of attorney's fees, and Plaintiffs are not required to prove entitlement to attorney's fees with finality at the pleadings stage. (Opp., p. 4:21-24.)

Plaintiff's argument that discovery might provide grounds for awarding attorneys' fees is tantamount to an admission that the Complaint does not now support a plea for attorneys' fees. Accordingly, the Motion to Strike is GRANTED as to attorneys' fees.

As Plaintiffs have not presented the Court with any new allegations that they could plead on amendment, the Court ordinarily would be inclined to grant the Motion to Strike without leave to amend. However, as the Court is granting leave to amend as to the claims against the Court exercises its discretion to grant the Motion to Strike with leave. Plaintiffs must come forward with allegations that support, as a matter of law, their prayer for attorneys' fees and emotional distress damages..

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V. Conclusion

Defendants Demurrer to the Third Cause of Action for Violation of Business and Professions Code section 10176, subdivision (a) is SUSTAINED without leave to amend.

Paulauskas's Demurrer to the Complaint as a whole and to the Fourth Cause of Action for Broker Liability under Civil Code section 2338 is SUSTAINED with leave to amend, with the exception of the Third Cause of Action, which is SUSTAINED WITHOUT LEAVE.

Defendants' Motion to Strike is GRANTED with leave to amend,

Plaintiffs are to file an amended complaint within 30 days of service of notice of this Order.

[1] The Court refers to the Causes of Action by the order in which they appear and are labeled in the body of the Complaint. The Caption of the Complaint places the Causes of Action in a different order.